

Islamic Banking vs. Conventional Banking

A Comparison Guide for LOLC Customers

Choosing between an Islamic and a conventional banking relationship comes down to how funds are deployed and how risk and return are shared. The table below summarizes the main differences between the two approaches.

Feature	Conventional Banking	Islamic Banking
Return on deposits	Fixed interest rate	Variable profit share based on actual earnings
Financing basis	Interest-bearing loan	Asset-backed financing (Murabaha, Ijarah, Musharakah)
Risk distribution	Borne mainly by borrower	Shared between bank and customer
Prohibited elements	None specified	Riba (interest), Gharar (excess uncertainty), Haram dealings
Oversight	Standard banking regulation	Standard regulation plus a dedicated Shari'ah Board
Profit guarantee	Yes, fixed rate	No — profit is variable and outcome-dependent

The Main Islamic Contract Types

Murabaha — A cost-plus-profit sale. The bank buys a specified asset and resells it to the customer at a disclosed, fixed price payable in instalments — no interest accrues over time. Commonly used for vehicle, consumer and trade financing.

Ijarah — An Islamic lease. The bank buys an asset and leases it to the customer for an agreed term; the bank retains ownership during the lease and the customer pays rent. Ownership can transfer at the end via a separate contract.

Musharakah / Diminishing Musharakah — A joint-ownership structure. Bank and customer co-invest in an asset or venture; profit is shared by agreed ratio and losses by investment share. In the diminishing form, the customer's ownership share grows over time until the bank's share is fully bought out.

Mudarabah — A profit-sharing partnership between an investor (the depositor/bank) and an entrepreneur or fund manager. Profits are split on a pre-agreed ratio; losses, if any, are generally borne by the capital provider.

Note: This is a general educational comparison compiled from publicly available industry sources, not an official LOLC product disclosure. Actual profit rates, fees and eligibility requirements should be confirmed directly with LOLC's Islamic Banking division.